

Interview Feedback

Brew & Bean Profitability · 2026-09-28 · Overall: needs work

Top improvement

Master nested-percentage math and hold your derived numbers with confidence: a share of COGS is not points of revenue, so convert by multiplying through (beans at 25% of COGS $\times$ 42% of revenue = 8.4%, then $\times$ 1.4 = 11.76%), sanity-check every result against the total before asserting it, and state conclusions top-down rather than as questions asking for validation.

Rubric Scores

Problem Structuring

needs work

What needs work

The candidate could not decompose costs when asked and required a multi-step directive rescue (Level 1 and Level 2 assists) to name basic cost buckets for a coffee chain.

“Hmm, I’m not sure.”

“I don’t really know where to start, sorry.”

The candidate opened with a recognizable high-level split of revenue, costs, and external factors and stated a directional hypothesis, but the framework never restated the objective, offered no sub-points under revenue (volume $\times$ price) or costs, and did not tie the structure to the profit decision.

“Okay, so I’d want to look at, um, three main areas.”

“First, revenue — like what’s happening with sales. Second, costs — what they’re spending money on. And third, maybe external stuff, like the market or competitors or the industry.”

“I think the costs one is probably where the issue is, since revenue grew but profit went down.”

Missed opportunities

When asked ‘within costs, how would you break it down?’ (turn 3), the candidate deflected with clarifying questions and then stalled.

A great answer: “I’d split costs into COGS — beans, dairy, packaging, food; labor — barista wages and benefits; and occupancy/overhead — rent, utilities, equipment. Since profit fell while revenue grew and the footprint is flat, I’d start with COGS as a percent of revenue to see if input inflation is compressing margin.”

Quantitative & Analytical Rigor

needs work

What went well

Once corrected, the candidate correctly reconciled the two COGS drivers against the total margin gap.

"So 3.36 plus 11.8 is about 15.2 points, and COGS went up 16. So input cost inflation explains basically the whole thing."

What needs work

The candidate repeatedly committed a units error, adding a percentage-price-increase directly to a revenue-share figure, and held onto the wrong answer even after multiple corrections.

"so 8.4 plus 40, so about 48% of revenue now"

"But I still kind of think the 40 sits on top of the 8.4, so 48.4. I'm not sure which one you want."

The candidate did eventually self-correct the nested-percentage error and land on the correct 3.36-point bean-to-revenue increase (11.76% vs 8.4%), but only under heavy interviewer guidance and after repeatedly reverting to the wrong figure.

"That'd be the 11.76 one — 8.4 times 1.4."

"Though if I do 8.4 plus the 40, I get 48.4, and that's the one that lines up better with COGS going to 58. So I keep landing back there."

"Hmm, that can't be right, that's bigger than total COGS. Sorry — I keep doing that same thing. I think it should be 31.5 times 1.375, which is about 43.3, so up about 11.8 points."

Missed opportunities

At turn 32, the candidate asserted beans would be '48% of revenue now' — a red flag since that alone would nearly equal total COGS of 58%.

A great answer: "Beans were 8.4% of revenue and prices rose 40%, so the new bean cost is $8.4 \times 1.4 = 11.76\%$ of revenue — an increase of about 3.4 points. That only explains a fraction of the 16-point COGS jump, so other inputs must be the bigger driver."

Data & Exhibit Interpretation

adequate

What went well

The candidate proposed a concrete next step to open up the COGS bucket rather than stopping at the top-line number.

"Do we know what's inside COGS? Like a split between coffee beans, milk, cups, pastries?"

What needs work

The candidate read the cost-structure exhibit cleanly and isolated COGS as the driver, but the translation into the drivers within COGS was derailed by the arithmetic units error before being recovered with help.

"so 8.4 plus 40, so about 48% of revenue now. That's a huge jump — that would more than explain the whole COGS increase."

"COGS is the big one — it went from 42 to 58. So that's a 16% increase in COGS."

"It's really COGS eating the margin — 16 points of the 18 point drop is basically all of it."

Missed opportunities

After naming COGS as the driver (turn 26), a strong candidate would have flagged the hypothesis to test before asking for data.

A great answer: "COGS drives 16 of the 18 points. My hypothesis is input-cost inflation rather than volume, so I'd want the COGS mix and the price change on each input to test whether beans alone explain it or whether it's broad-based inflation."

Business Judgment & Insight

adequate

What went well

The candidate drew a sound commercial inference from the revenue-share logic: rising COGS share while inputs inflated implies little to no price pass-through.

"if prices had gone up, the COGS share would have fallen, not risen. The fact that it rose 16 points while inputs rose roughly 38-40% suggests they passed through basically nothing."

The candidate reasoned that 15% revenue growth on a flat 200-store footprint must be volume or mix rather than price.

"revenue grew 15% with the same 200 stores, so that's probably volume or mix, not price."

What needs work

The candidate's early lever hypothesis (labor) was speculative and unanchored, and was abandoned as soon as the exhibit appeared.

"Um, maybe labor? I feel like that's usually a big one for a coffee shop, and if wages went up that could hit margin."

Missed opportunities

At turn 46 the candidate correctly inferred prices were likely flat but did not surface pricing power or elasticity risk when connecting the diagnosis to a price-increase lever.

A great answer: “If prices are flat while inputs rose ~38%, the primary lever is selective price increases on less-elastic specialty SKUs — but I’d want to check competitor pricing and demand elasticity before recommending, since blanket increases risk volume loss.”

Creativity & Brainstorming

needs work

The interviewer posed the brainstorm question (“beyond raising menu prices, what else could the client do?”) only at the very end and immediately closed the case, so this dimension was effectively not administered — the rating reflects absence of evidence, not a candidate failing.

Synthesis & Recommendation

needs work

The interview entered load-shedding at the exhibit stage and closed immediately after the diagnosis, so the final recommendation stage was never run — the rating reflects the diagnostic mini-syntheses available, not a full recommendation the candidate was never given time to deliver.

What needs work

The candidate produced a crisp mini-synthesis of the causal story in one line, but never delivered a final recommendation and framed even the diagnostic wrap-ups as questions seeking validation rather than committed conclusions.

“Is that where you wanted me to land?”

“Sorry, is that a fair way to get there?”

“So: prices flat, costs up, margin absorbed all of it.”

“So the story is: costs inflated, prices didn’t move.”

Communication & Delivery

needs work

What went well

When the candidate had a clear point, it was expressed concisely and in plain, followable terms.

“Labor didn’t move at all, so my hypothesis was wrong there, sorry. It’s really COGS eating the margin — 16 points of the 18 point drop is basically all of it.”

What needs work

The candidate repeatedly self-deprecated and apologized, which undercut composure and signaled low confidence.

“I’m stuck, sorry. god I’m so bad at this.”

“Sorry, I know I’m going slow. god I’m so bad at this.”

Most conclusions were phrased as validation-seeking questions rather than assertive, top-down statements.

“Am I on the right track here?”

“Is that the right track?”

Missed opportunities

After stalling on cost buckets (turns 12-18), the candidate spiraled into self-criticism instead of resetting.

A great answer: “Let me think about this from the ground up — for a single coffee shop the big spend categories are ingredients, the people serving, and the space itself, so COGS, labor, and occupancy are my three cost buckets.”

Pushback, Composure & Case Leadership

needs work

What needs work

The candidate remained engaged through repeated corrections and eventually incorporated the units feedback on the second calculation, but on the bean math resisted correction across multiple turns, repeatedly reverting to the wrong figure even after being walked through the right one.

“But I still kind of think the 40 sits on top of the 8.4, so 48.4. I’m not sure which one you want.”

“and that’s the one that lines up better with COGS going to 58. So I keep landing back there.”

“I think it should be 31.5 times 1.375, which is about 43.3, so up about 11.8 points.”

The candidate needed directive rescues to progress on structure and did not drive the case forward, largely waiting to be led.

“I don’t really know where to start, sorry.”

“Maybe... the coffee beans? Like the ingredients.”

Missed opportunities

At turn 35 when asked ‘40 percent of the whole revenue, or 40 percent of the 8.4?’, the candidate had the pivotal cue but held the wrong interpretation.

A great answer: “You’re right — the 40% is a rise on the bean cost itself, so it’s 40% of 8.4, which is 3.36 points; my earlier 48.4 was mixing units. Beans go from 8.4% to 11.76% of revenue.”

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 2:03

Okay, so I'd want to look at, um, three main areas. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe external stuff, like the market or competitors or the industry.

I think the costs one is probably where the issue is, since revenue grew but profit went down. Does that seem like a reasonable place to start?

Interviewer · 2:06

Before I react, one thing. Is that structure MECE, and within costs, how would you break it down?

Candidate · 2:25

Hmm. Can I ask a clarifying question first — is Brew & Bean company-owned stores or franchised?

Interviewer · 2:27

Company-owned, all 200. Now back to my question: how would you break down costs?

Candidate · 2:46

Okay. And has the store count changed over the two years, or is it still 200?

Interviewer · 2:48

Here's the store count. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed.

Candidate · 3:08

Got it, thanks. And is the 15% revenue growth across all stores, or driven by a few?

Interviewer · 3:10

I don't have that split. Back to my question: how would you break costs down?

Candidate · 3:32

Okay. Um, one more thing — is the 24% to 6% net margin, like, after taxes and interest, or operating?

Interviewer · 3:33

I don't have that detail — treat it as overall net margin. Now, how would you break costs down?

Candidate · 3:44

Hmm, I'm not sure.

Interviewer · 3:46

Take a moment. What are the main buckets of cost for a coffee chain?

Interviewer · 4:47

Still with me? Take your time. The question on the table: what are the main buckets of cost for a coffee chain?

Candidate · 5:10

I don't really know where to start, sorry.

Interviewer · 5:11

Think about running a single coffee shop. What do you pay for to keep the doors open?

Interviewer · 6:13

Still with me? Take your time. The question on the table: what do you pay for to keep the doors open?

Candidate · 6:46

I'm stuck, sorry, god I'm so bad at this.

Interviewer · 6:52

No need for that. What's the single biggest thing you'd spend money on to sell a cup of coffee?

Candidate · 7:44

Maybe... the coffee beans? Like the ingredients.

Interviewer · 7:47

Okay, that's cost of goods. What else — beyond the ingredients, what do you pay for?

Candidate · 8:39

Rent? And, um, paying the baristas.

Interviewer · 8:41

So we have cost of goods, rent, and labor. Which of those would you look at first, and why?

Candidate · 9:50

Um, maybe labor? I feel like that's usually a big one for a coffee shop, and if wages went up that could hit margin. Is that the right track?

Do we have a breakdown of costs as a percent of revenue, like two years ago versus now?

Interviewer · 9:53

There's an exhibit on cost structure over time. Take a look.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 10:53

Okay, so labor is flat at 22, overhead only moved 12 to 14. COGS is the big one — it went from 42 to 58. So that's a 16% increase in COGS.

Labor didn't move at all, so my hypothesis was wrong there, sorry. It's really COGS eating the margin — 16 points of the 18 point drop is basically all of it.

Do we know what's inside COGS? Like a split between coffee beans, milk, cups, pastries?

Interviewer · 10:55

I have a COGS breakdown. Here's the share that coffee beans make up: Coffee beans were 25% of COGS two years ago.

Candidate · 11:36

Okay, so if beans were 25% of COGS and COGS was 42% of revenue, then beans were... 25% of 42, so that's 8.4% of revenue two years ago.

Do we know what share beans are now? If bean costs spiked, that could explain a lot of the 16 point jump.

Interviewer · 11:38

Before that — you'd want the actual price change. Do you want bean prices, or the other input costs?

Candidate · 12:17

Bean prices, please. If those spiked that's probably the driver.

Also, did Brew & Bean change their menu prices at all over the two years? If bean costs went up and they didn't pass any of it through, that would make the margin hit worse.

Interviewer · 12:19

Here's the bean price change, then I'll get you menu prices. Raw coffee bean costs are up 40% over the past two years.

Candidate · 13:11

Okay, so if beans were 8.4% of revenue and they're up 40%, then they'd be 8.4 plus 40, so about 48% of revenue now. That's a huge jump — that would more than explain the whole COGS increase.

Hmm, that feels big though. But COGS only went to 58, so beans at 48 would be almost all of it.

Am I on the right track here?

Interviewer · 13:12

Walk me through that. If beans are up 40 percent, why would you add 40 to 8.4?

Candidate · 13:49

Um, because the cost went up by 40%, so I'm adding the 40 on top of the 8.4 that was already there. So 8.4 plus 40 equals 48.4% of revenue now.

I think that's right? It's a 40 point increase on the original.

Interviewer · 13:52

Points of what? The 40 percent — is that 40 percent of the whole revenue, or 40 percent of the 8.4?

Candidate · 14:24

Hmm. I think it's 40% of revenue, so it's 40 points on top of the 8.4 — so 48.4%. That's how I'd read it.

Sorry, I know I'm going slow. god I'm so bad at this.

Interviewer · 14:26

Slow is fine. The 40 percent is how much bean prices rose. That applies to the bean cost — the 8.4. So what's 40 percent of 8.4?

Candidate · 15:41

Okay, 40% of 8.4 is 3.36. So beans would be 8.4 plus 3.36, which is 11.76% of revenue.

But I still kind of think the 40 sits on top of the 8.4, so 48.4. I'm not sure which one you want.

Interviewer · 15:45

The 8.4 already is the bean cost in revenue terms. Prices rose 40 percent, so the new cost is that number times 1.4. Which of your two answers is that?

Candidate · 16:24

That'd be the 11.76 one — 8.4 times 1.4.

Though if I do 8.4 plus the 40, I get 48.4, and that's the one that lines up better with COGS going to 58. So I keep landing back there.

Sorry, I know you corrected me.

Interviewer · 16:26

Let it go — 48.4 assumes prices rose by 40 points of revenue, not 40 percent. The right figure is 11.76. So beans rose from 8.4 to 11.76 — how many points is that?

Candidate · 17:03

That's 3.36 points of revenue.

But COGS went up 16 points total, so beans only explain about 3.4 of that. So something else in COGS moved too — milk, cups, pastries, waste maybe.

Do we have the price changes on the other inputs?

Interviewer · 17:05

Here's the other input cost changes. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 18:14

Okay, so other inputs were 75% of COGS, so 75% of 42 is 31.5% of revenue.

And they're up 37.5%, so... 31.5 plus 37.5 is 69% of revenue.

Hmm, that can't be right, that's bigger than total COGS. Sorry — I keep doing that same thing. I think it should be 31.5 times 1.375, which is about 43.3, so up about 11.8 points.

So 3.36 plus 11.8 is about 15.2 points, and COGS went up 16. So input cost inflation explains basically the whole thing.

Am I on the right track?

Interviewer · 18:16

You caught the units yourself that time. So input inflation explains nearly all of the COGS jump. Now — do you have the menu prices I promised?

Here's the menu price change over the two years.

Candidate · 19:19

I don't think I actually see a number there — did it come through?

If not, I'll assume menu prices were roughly flat. That would fit, actually: revenue grew 15% with the same 200 stores, so that's probably volume or mix, not price. And if they never passed any of the 40% bean increase through to customers, the whole input inflation hit lands on margin.

So the story is: costs inflated, prices didn't move.

Is that where you wanted me to land?

Interviewer · 19:20

Here's the menu price data. We don't have that specific cut. How would you approach it with what's available?

Candidate · 20:51

Um, okay. I'd back into it. Revenue grew 15% with the same 200 stores. If I assume prices were flat, all of that is volume or mix.

And COGS went from 42% of revenue to 58% of revenue — those are shares of revenue, so if prices had gone up, the COGS share would have fallen, not risen. The fact that it rose 16 points while inputs rose roughly 38-40% suggests they passed through basically nothing.

So: prices flat, costs up, margin absorbed all of it.

Sorry, is that a fair way to get there?

Interviewer · 20:53

That's a defensible read. Now let's shift — beyond raising menu prices, what else could the client do to reverse the margin decline? We'll stop there. Thanks for working through the case.